

Figure 1. Early trade center in Italy



Figure 2. Global Credit Union Industry Overview

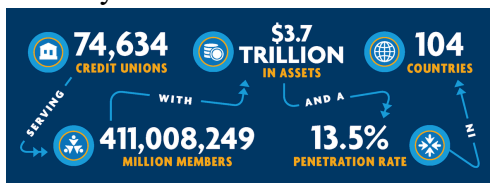


Figure 3. Derivatives Market Size

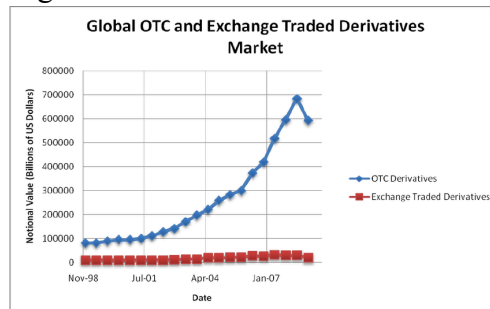


Figure 4. Wealth Destruction



Figure 5. Unemployment Rate



Evolution of Banking: Historical Phases

• XI Century

- **Location & Context:** 11th century Italy emerged as the epicenter of European trade, particularly in cities like Pisa. (Figure 1)
- **The Currency Problem:** Merchants in Pisa alone had to deal with seven different types of coins, creating constant exchange needs.
- **Origin:** The word "bank" originates from "banco" (Italian for "bench"), referring to the outdoor benches where money changers conducted business.
- **Key Innovations:** Home brokers began extending credit to businessmen.
- **Geographic Expansion:** Networks of banks spread across Europe, lending even to the Catholic Church and European monarchs.

• XIX Century

- **Credit Unions Emerge:** Cooperative financial initiatives were established to circumvent predatory credit sharks (loan sharks). (Figure 2)
- **Core Philosophy:** Focus on shared value rather than profit maximization, helping members create opportunities for small businesses, farm expansion, and family homes.
- **Structure:** Controlled by members who democratically elect the board of directors.
- **Community Investment:** Profits reinvested back into local communities.

• Financial Boom Period (Late 1990s - 2007)

- **Paradigm Shift:** Major banks abandoned traditional long-term financial products for short-term, high-risk gains.
- **Complex Instruments:** Banks adopted "barely comprehensible" financial constructs. (Figure 3)
- **Proprietary Trading:** Banks engaged in their own trading to generate fast profits.
- **Compensation Structure:** Executives and traders earned millions in bonuses, creating perverse incentives.
- **Risk Comparison:** Activities described as "nothing short of gambling".

• 2008 Financial Crisis

- **Triggering Event:** Banks like Lehman Brothers extended credit to virtually anyone wanting to buy a house.
- **Systemic Risk:** Extremely dangerous risk positions accumulated across the banking sector.
- **Market Collapse:** US and European housing markets collapsed, triggering plummeting stock prices.
- **Wealth Destruction:** "Hundreds of billions of dollars just evaporated". (Figure 4)
- **Quality of Life:** Millions lost their jobs and savings. (Figure 5)
- **Global Impact:** Evolved into one of the largest financial crises in history.
- **Trust Erosion:** Bankers became some of the least trusted professionals and public resentment because being bailed out by the government.
- **Institutional Fines:** Major banks paid billions in penalties.

Basel III

The diagram illustrates the three pillars of Basel III, each represented by a colored gear connected by a dashed line. The first gear (dark blue) is labeled 'Strengthen Bank Capital Requirements' and is linked to the text 'Ensure that banks have a solid financial foundation and reduce the likelihood of bank failures.' The second gear (light blue) is labeled 'Limit Prudency' and is linked to the text 'The extent a bank relies on debt and other liabilities relative to capital.' The third gear (teal) is labeled 'Reduce Bank Leverage' and is linked to the text 'Ensure that banks have sufficient liquid assets to meet their short-term obligations.' The fourth gear (purple) is labeled 'Liquidity Requirements' and is linked to the text 'Banks provide a disclosure of their risk profile, capital position, and risk management practices.' The fifth gear (pink) is labeled 'Enhanced Risk Capture' and is linked to the text 'Banks provide a disclosure of their risk profile, capital position, and risk management practices.'

The tendency for banks to take on more risk when times are good.

Ensure that banks have sufficient liquid assets to meet their short-term obligations.

Strengthen Bank Capital Requirements

Limit Prudency

Reduce Bank Leverage

Liquidity Requirements

Enhanced Risk Capture

Ensure that banks have a solid financial foundation and reduce the likelihood of bank failures.

The extent a bank relies on debt and other liabilities relative to capital.

Banks provide a disclosure of their risk profile, capital position, and risk management practices.

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Corporate Finance Institute

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Kurzgesagt – In a Nutshell. (2015, 12 marzo). Banking Explained – Money and Credit [Video]. YouTube. <https://www.youtube.com/watch?v=fTTGALaRZoc>

Basel Committee on Banking Supervision. (2011). Basel III: A global regulatory framework for more resilient banks and banking systems (Revised June 2011). Bank for International Settlements. <https://www.bis.org/publ/bcbs189.pdf>